

Unemployment: Meaning, Measurement, and Canada's Experience

ECON 300 - Labour Economics

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- Explain how unemployment and the unemployment rate are defined and measured.
- Discuss controversies in measurement and alternatives.
- Summarize Canada's unemployment experience and cross-country comparisons.
- Define labour force participation and employment rates and why we use them.
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Measuring Unemployment (LFS Basics)

- **Unemployed:** Not currently employed and actively searching for work at prevailing wages/conditions.
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Canadian Experience: A Brief Narrative

- 1929: Great Depression surge to about 20% unemployment.
- WWII: unemployment fell sharply.
- Recessions: 1957–58, 1974–75, 1981–82 saw increases.
- Early 2000s recovery; by 2006 fell to 6.0%.
- 2008–09 crisis: rose to 8.3% (Canada's downturn milder than many).
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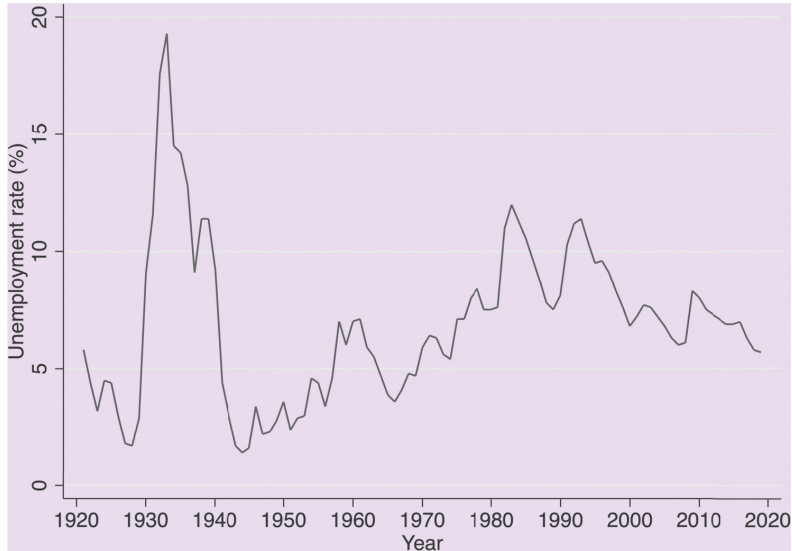
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Figure 16.1: A Century of Unemployment in Canada



Alternative Measures of Labour Force Activity

- **Unemployment rate:** Fraction of the *labour force* out of work and searching.
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Table 16.1: Labour Force Participation, Employment, and Unemployment, Canada, 1946–2019^a

Year	Labour Force Participation Rate	Employment Rate	Unemployment Rate	Rate of Growth of Employment
1946	55.0	53.1	3.4	
1956	53.5	51.7	3.4	1.8
1966	55.1	53.1	3.6	2.5
1973	59.7	56.4	5.6	3.0
1981	65.0	60.0	7.6	3.2
1989	67.2	62.1	7.5	1.8
2000	65.9	61.4	6.8	1.2
2008	67.6	63.4	6.1	1.8
2019	65.7	62.0	5.7	1.0

a. Canada. b. Annual rate of growth of employment.

International Differences in Unemployment

- 1950s: U.S. higher than Australia and Japan.
- 1973 OPEC shock: rises in several European countries.
- 1990s: further increases in France, Germany, Italy.
- Since 2000: generally low in English-speaking countries.
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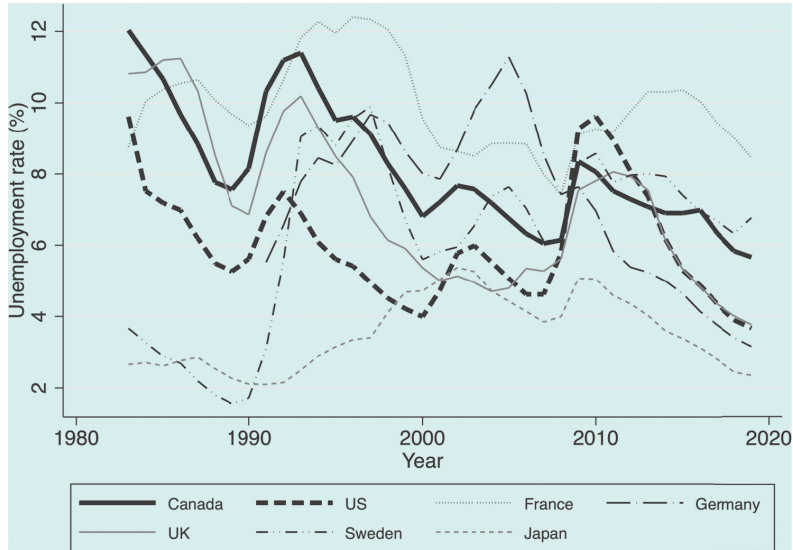
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Figure 16.2: Unemployment Rates Across Selected Countries —



Hidden Unemployment

- Some without work *want* jobs but are not counted as unemployed.
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- Monthly flows among **employed**, **unemployed**, and **not in labour force**.
- On average each month: $\sim 235,000$ unemployed find jobs; $\sim 190,000$ lose/leave jobs and start searching.
- Average net monthly flow $\approx 45,000$; $P(U \rightarrow E) \approx 0.22$.

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Figure 16.3: Labour Market Stocks and Flows, 1976–1991



Table 16.2: Decomposition of Unemployment by Reason, 2005–2019

Year	National Unemp. Rate (%)	Reason for Separation				
		Job Losers (%)	Permanent	Temporary Layoffs	Job Leavers (%)	New Entrants & Re-Entrants (%)
2005	6.8	28		7	10	4
2006	6.3	26		8	11	4
2007	6.0	27		7	11	4
2008	6.1	29		7	11	4
2009	8.3	33		8	8	4
2010	8.1	30		6	6	4
2011	7.5	27		5	9	4
2012	7.3	26		5	8	4
2013	7.1	28		5	8	4
2014	6.9	28		5	9	4
2015	6.9	29		5	8	4
2016	7.0	30		4	8	4
2017	6.3	27		4	8	4
2018	5.8	25		4	9	4
2019	5.7	26		4	9	4

Incidence and Duration of Unemployment

- **Incidence:** Proportion of individuals who *become* unemployed in a period.
- **Duration:** Length of time an individual remains unemployed before exit (to employment or out of labour force).
- Both drive the unemployment rate:

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Worked Example: Incidence vs. Duration

Two regions have the same unemployment rate, 6%.

Region A: incidence 3% and duration = 2 months.

Region B: incidence 1.5% and duration = 4 months.

Takeaway: Same UR can reflect frequent short spells (A) vs. fewer but longer spells (B) $\Rightarrow$ policy focus differs (job-finding vs. income support).

Table 16.3: Incidence and Duration of Unemployment by Age and Sex, Canada, 2019

Sex	Age Group	Unemployment Rate	Incidence Rate	Duration (Months)	Unemployed > 6 Months (%)
Men	15–24	12.3	6.1	2.0	7.5
	25–44	5.3	1.9	2.8	14.8
	45 +	4.8	1.4	3.4	23.6
	All	6.0	2.3	2.7	15.8
Women	15–24	9.7	5.1	1.9	5.9
	25–44	5.3	1.9	2.8	13.2
	45 +	4.2	1.3	3.3	22.1
	All	5.3	2.1	2.5	14.2

Changing Perspectives on Unemployment

- The labour force is **highly dynamic**.
- Roughly half of inflows to unemployment are job losers.
- Even in 2010 (above-normal unemployment), average duration ≈ 3 months; about one-fifth of spells > 6 months.
- Highest unemployment rates are in younger groups, who also have **shorter** durations but **higher** incidence.

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Table 16.4: International Differences in Long-Term Unemployment

Long-Term Unemployment as a % of Total Unemployment	1999 (12+ months)	2019 (12+ months)
Canada	11.7	8.5
France	40.4	38.8
Germany	51.8	38.1
Japan	22.4	32.3
Sweden	30.1	12.1
United Kingdom	29.6	25.1
United States	6.8	12.7

Unemployment Rate as a Summary Statistic

- Widely used indicator of the **aggregate state** of the economy.
- Signals tightness/looseness of the labour market; rises in low/negative growth.
- Measures unused labour supply, but may not capture all **hardship** (e.g., hidden unemployment).

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- Canada's historical experience and cross-country differences.
- Hidden unemployment and discouraged workers matter for interpretation.
- Stocks, flows, and $UR = \text{Incidence} \times \text{Duration}$ clarify dynamics.
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